Fundraising as an Organization

Building the Infrastructure Needed to Fund Good Work

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PMAP 8213/3213 Week 5

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1. Preparing the Organization
2. Building a Comprehensive Fundraising Program
3. Identifying and Qualifying Potential Donors

Human Resource Infrastructure

- Board of Directors
  - Board members are essential sources of personal philanthropy and identifying prospective donors
  - A diverse board, representing the community served, will provide the best human capital to ensure that the funding priorities and program services are aligned with the community needs
- Staffing and Volunteers
  - A lead development director should exist in a nonprofit's senior leadership team
  - If large enough, that director needs to have a fundraising staff in place, along with the systems for training and maintaining that staff
  - All employees, from the CEO down, should engage in the fundraising process
  - Operational volunteers serve as grass roots connections to the community

Comprehensive Planning

- Strategic Plan
  - This plan incorporates the characteristics of the organization and its overall goals
  - Set goals and objectives for organization
  - Analyze the situation
  - Consider plans and select alternatives
  - Implement and Evaluate the plan
- Comprehensive Operations Plan
  - Establishes a plan for all operation aspects of an organization (financial goals, volunteer utilization, revenue forecasts, etc)
  - Fundraising plan is crafted to facilitate the operations plan and achieve the mission
- These plans need to not just consider the internal objectives of the organization, but also the external challenges that the organization is facing in the present, the immediate future, and beyond

Data for Evaluation

- Output vs Outcomes
  - Outputs – Measures that nonprofits internally identify as part of their program activities
  - Outputs represent useful targets for the strategic plan
  - Outcomes – external metrics used to evaluate nonprofit impact
  - Outcomes are a long-term result of nonprofit activities
- Quantitative vs Qualitative Data and Results
  - Quantitative data refers to data that can be quantified, or counted
  - Quantitative data provides a useful feedback mechanism to directly compare outputs and outcomes over time
  - Qualitative data captures a more full story, but are subjective with less ability to compare across time
  - Let's review the case studies listed in the text

Daily Operational Requirements

- Personnel
  - The size of this staff will be organization dependent
  - Long-term needs include a team with planning, organization, and management skills on top of sales skill for fundraising
- Case for Support
  - This states the nonprofit's case to donors and should simultaneously inspire donors and be aligned with the nonprofit's strategic plan
- Donor Database
  - A centralized, comprehensive list of current and prospective donors including personal characteristics of each donor
- Gift Range Chart
  - An estimate of how many donors are needed at each giving level to achieve the overall fundraising goal
- Gift Acceptance Policy
  - Policy establishing what kind of gifts an organization can accept
  - Also establishes criteria for accepting gift from donors with "tainted reputations"
- A Fundraising Culture

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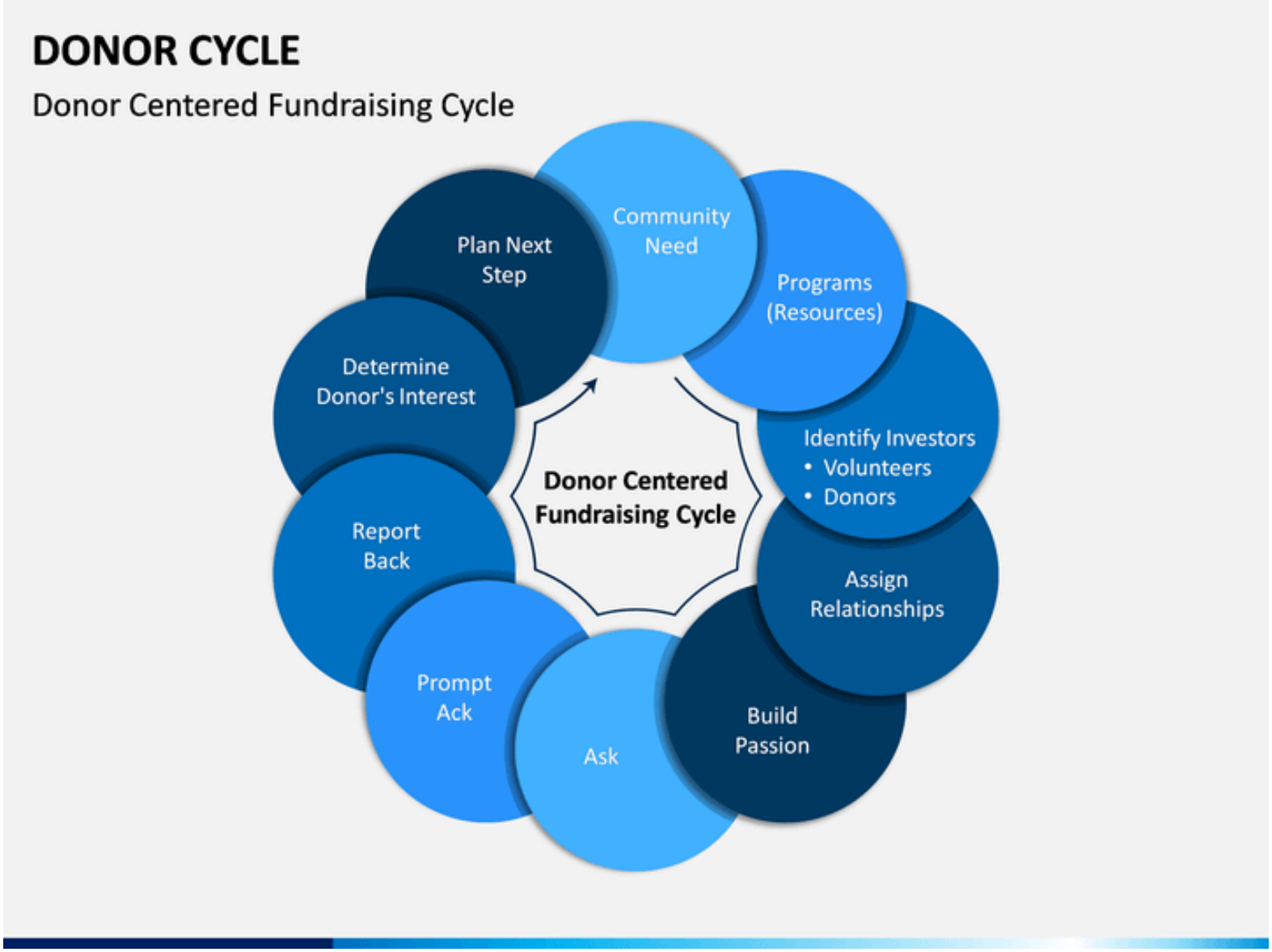
Development, Planning, and Communications

- Organizations with fundraising plans raise more money than organizations without a plan
- Planning requires for leadership to give answers to the following:
  - Who are we?
  - What distinguishes us from other nonprofits?
  - What do we want to accomplish?
  - How will we reach our goals?
  - How do we hold ourselves accountable?
  - Why is our organization best poised to address this human / societal need?
- Answering these questions helps set strategic plans
- Strategic plans help direct communications and PR on what the highlight for the organization
- Combined, a development plan helps serve the organization regardless of unforeseen circumstances

The Fundraising Cycle



Rosso (1991) Cycle

1. Examine the Case
2. Analyze Market Requirements
3. Prepare Needs Statement
   - Determines nonprofit needs to accomplish the plan set out through strategic planning
4. Define Objectives
   - **S**pecific **M**easurable **A**cheivable **R**esults and **Time** Oriented
5. Involve Volunteers
6. Validate Needs Statement
7. Evaluate Gift Markets
8. Select Fundraising Vehicle
   - Selection between annual fund, capital campaign, major gifts, or planned giving
   - Associated strategies of these vehicles include mail, special events, grant proposals, personal solicitations, phone calls, or digital fundraising

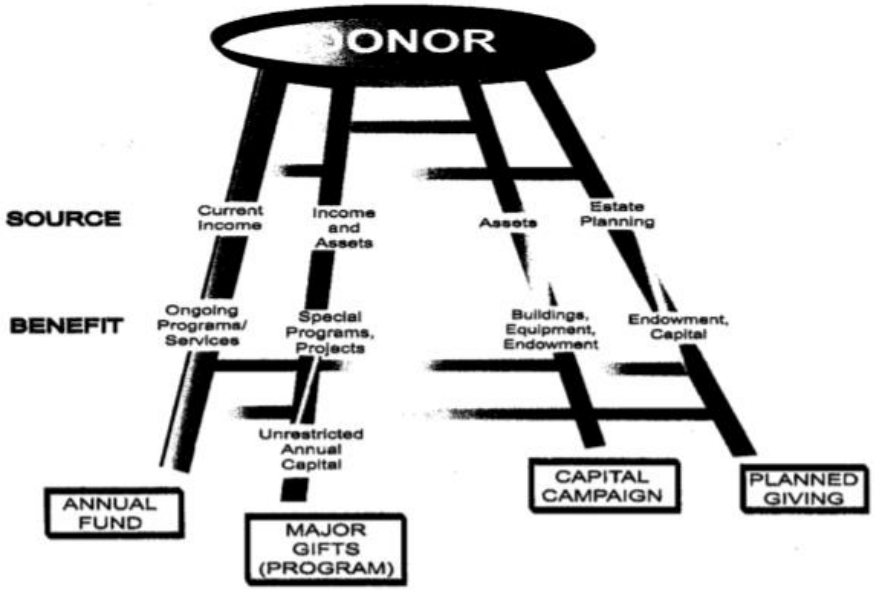
Rosso Cycle Continued

9. Identify Potential Giving Sources
10. Prepare Fundraising Plan
    - Allocate resources needed for implementation
    - Quantify the amount of money to be raised for each purpose
    - Include a calendar and timeframe
    - Define methods of fundraising
    - Include roles and responsibilities
    - Include methods for monitoring and evaluating
11. Prepare Communications Plan
12. Activate Volunteer Corps
13. Solicit the Gift
14. Demonstrate Stewardship and Renew the Gift

Four-Legged Stool of Fundraising

Chuck V. Loring
Loring, Sternberg & Associates

4 - Legged Stool of Fundraising



Defining the Stool

- Annual Fund
  - Annual giving by donors that supports current, ongoing programs fulfilling the organization's missions.
  - Often times, this set fundraising goal to cover the "gap" between revenue and expenses
- Major Gifts / Program
  - Gifts larger than the typical gift to the annual fund, raising commitment levels of donors and bonding to the organization
  - Not just a quantity, but also indicated by importance to organization
  - Restricted for particular purposes and can be made through additional means than cash contributions
- Capital Campaign
  - Focused on increasing organizational capital including physical assets along with financial assets such as the endowment
- Planned Giving
  - Contributions other than immediate cash giving
  - Usually commitments made in the present for donations in the future (bequest is a common planned gift)

Donor Pyramid of Fundraising Strategies

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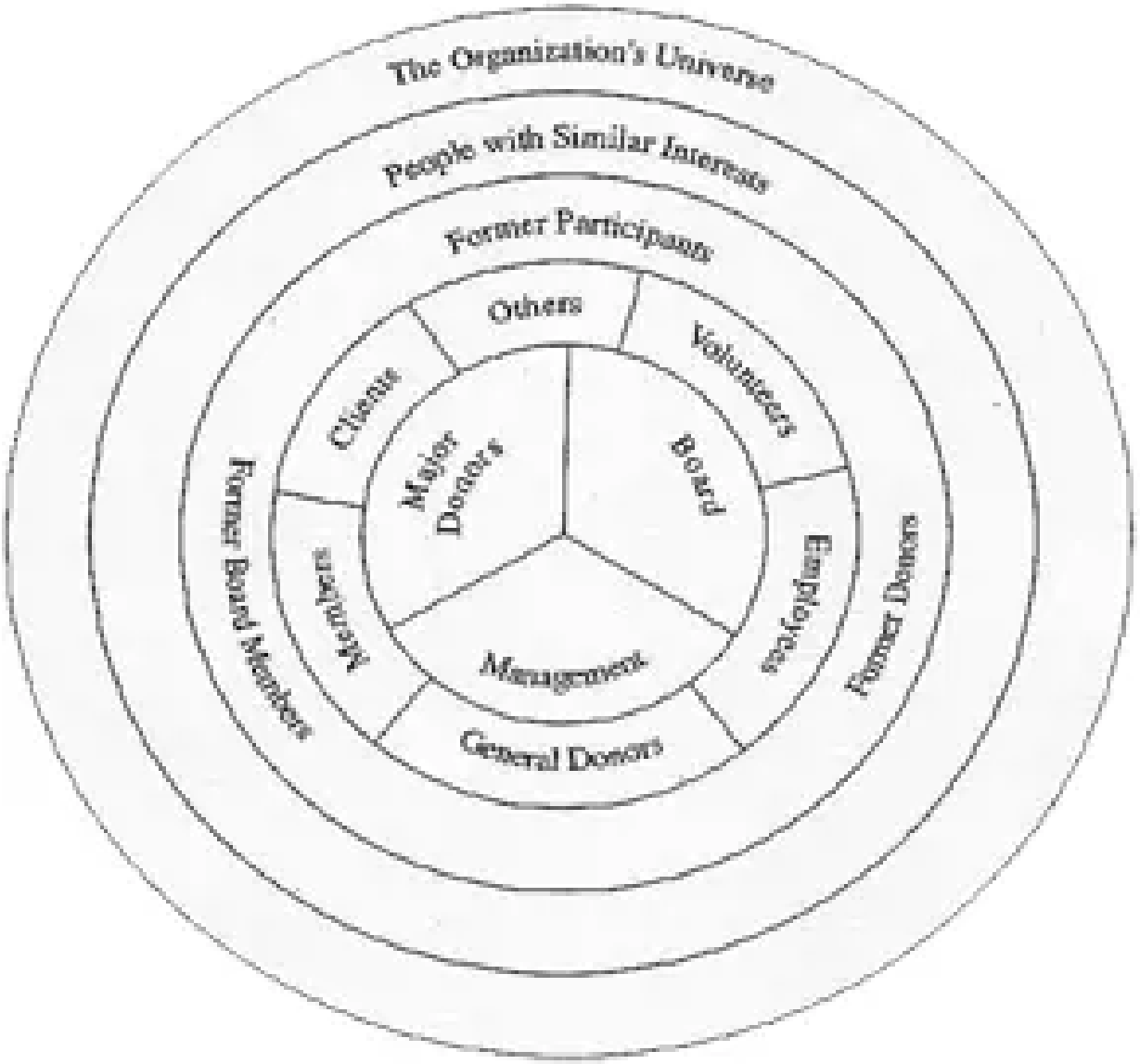
Rosso (1991) Constituency Model



The Linkage, Ability, Interest Principle

- Linkage – how an individual is connected to a nonprofit
  - Has previously received services
  - Knows a board member, volunteer, or staff person
  - Refers other to services
- Ability – financial capacity to donate
  - Has given to other nonprofits
  - Shows evidence of discretionary income
  - Time of life changes – empty nest, retirement, sale of business
- Interests – demonstrated knowledge about the mission and involvement
  - Attends an event or activity
  - Participates regularly on social media
  - Has a history of giving to this organization or similar organizations
- After identifying, donors can be qualified based on their ability and interest to make a gift
- A similar but different LIA principle stands for: Linkage, Involvement, and Advocacy

Prospective Donor Research

- The ability to perform donor research is correlated with organization resources
- Larger organizations can devote an entire team with screening software and analysis capabilities
- Most organizations are smaller without these capabilities
- Three Levels of Research
  1. Basic Demographic Details
  2. Affiliations and Interests
  3. Giving Decisions and financial information
- This research should be done ethically, with organizational commitment to confidentiality, accuracy, and relevance through clear organizational policy